

THE WHOLE PROJECT — WHAT IT IS AND WHY IT EXISTS

Anmol Developers has been pricing their plots the same way for years. Someone senior looks at a plot, thinks about where it is, which direction it faces, how the market is doing — and decides a price. That works when you have experience. But it has one big problem: **two different people might price the same plot differently. And even one experienced person might under-price their best plots without realising it.**

This project replaces that gut-feeling approach with a formula. A formula that takes the same factors the company already considers — facing direction, road access, project stage — and assigns a specific rupee value to each one, based on what actual buyers in the Warangal market told us they care about and how much they'll pay.

That's the whole project in one paragraph.

THE TWO MODELS — WHAT THEY ARE AND WHAT THEY DO

MODEL 1 — THE REGRESSION MODEL

What is a regression model in plain English?

A regression model is a way of answering the question: **"Which factors actually predict something, and by how much?"**

In our case, the question was: **"Which characteristics of a buyer predict how much price premium per square yard they're willing to pay for a well-connected property?"**

We took five characteristics from the survey — infrastructure importance, Vastu adherence, income level, highway likelihood, and age — and mathematically tested which ones actually move the needle on price premium willingness.

What is a beta coefficient (β)?

Every predictor gets a beta coefficient. It tells you: **"If this predictor increases by one unit, how much does the price premium change?"**

For example, our income coefficient is +Rs. 399. That means: every time a buyer moves up one income bracket — say from

Rs. 50K–1L to Rs. 1L–2L per month — their willingness to pay a price premium goes up by Rs. 399 per square yard. On a 150 square yard plot, that's Rs. 60,000 extra they're comfortable paying.

What is a p-value?

The p-value tells you whether a finding is **statistically real or just noise**. The threshold is 0.05. If p is below 0.05, the result is real — we call it "significant." If p is above 0.05, it could just be coincidence.

In our model:

- Income: $p = 0.007 \rightarrow$ **Real and significant**
- Infrastructure: $p = 0.791 \rightarrow$ Not significant
- Vastu: $p = 0.524 \rightarrow$ Not significant

What is R^2 ?

R^2 tells you how much of the variation in the outcome your model explains. Our R^2 is 0.067, meaning the five variables together explain 6.7% of why different people are willing to pay different premiums. That sounds low — and it is. But it's normal for buyer behaviour surveys because human decisions are complex. The value of the regression isn't a high R^2 — it's the identification of income as the one measurable predictor that genuinely matters.

What did the regression actually find?

Only income is significant. This tells us something important and specific:

- Infrastructure and Vastu tell you **whether** someone will buy
- Income tells you **how much extra** they will pay

These are two different business questions. The regression answers the second one.

MODEL 2 — THE DYNAMIC PRICING MODEL

This is the model that directly tells Anmol Developers: "**Plot number X should be priced at Rs. Y per square yard today, and Rs. Z when construction is complete.**"

The formula is:

Final Price = (Base Rate + Facing Premium + Infrastructure Premium) $\times$ Stage Multiplier

Let me explain every single term.

BASE RATE — Rs. 6,000 per sq. yard

What it is: The minimum price floor. The price below which Anmol Developers cannot go without making a loss.

How it was derived: Total project cost (land acquisition + development + approvals + operational costs) divided by total saleable area in square yards, plus a profit margin. This number came directly from Anmol Developers — it represents their actual cost structure for the 63-acre layout.

What it means to the company: This is the safety net. No matter what the premium adjustments are, the base rate ensures every plot covers costs and delivers minimum profit. Think of it as the floor of a building — everything else is built on top of it.

FACING PREMIUM

What it is: An additional amount added per square yard based on which direction the plot faces — East, West, North, South, or diagonal combinations like North-East.

Why it exists: 93.3% of buyers in the survey consider Vastu Shastra when purchasing. Vastu assigns different levels of auspiciousness to different facing directions. Higher auspiciousness = higher buyer demand = higher price.

How it was derived: We looked at the survey data on facing preferences. 53.8% of respondents preferred East-facing. Only 10.1% preferred West-facing. We used that demand hierarchy to assign premium values:

Facing	Survey Demand	Facing Premium
East	53.8%	+Rs. 2,000/sq.yd
North-East	~12%	+Rs. 1,800/sq.yd
North	15.1%	+Rs. 1,500/sq.yd
South-East	~16%	+Rs. 1,200/sq.yd
North-West	~9%	+Rs. 1,000/sq.yd
West	10.1%	+Rs. 800/sq.yd
South-West	~11%	+Rs. 500/sq.yd
South	lowest	Rs. 0

What it means to the company: An East-facing plot earns Rs. 2,000 more per square yard than a West-facing plot, purely because of direction. On a 150 square yard plot, that's Rs. 3 lakhs more revenue — just from which way the plot faces. Without this model, the company might not be capturing that premium systematically.

INFRASTRUCTURE PREMIUM

What it is: An additional amount per square yard based on

how accessible the plot is — specifically, what kind of road connects it to the outside world.

Why it exists: 72.3% of buyers rate infrastructure as moderately or extremely important. 80.7% are willing to pay extra for good road connectivity. The survey also showed that buyers accept Rs. 1,000–5,000 per square yard as a reasonable premium for connectivity — which matches Anmol's own observed appreciation range.

How it was derived: We defined four access tiers based on road type, and assigned premiums based on the survey's price-premium willingness data:

Tier	Road Type	Premium	Plots in Layout
Tier A	Highway / 100-ft road	+Rs. 5,000/sq.yd	39 plots
Tier B	Main road 30–60 ft	+Rs. 3,000/sq.yd	80 plots
Tier C	Internal road only	+Rs. 1,000/sq.yd	327 plots

The 100-ft shared road story: Remember from the field visit — the 63-acre layout initially had no road access. Buyer interest was very low. Once the shared 100-ft road with Lotus Kakatiya was built, demand came back. That real-world observation is exactly what the Tier A premium captures. The 39 plots with access to that road are worth Rs. 5,000 per square yard more than they would be without it.

What it means to the company: A Tier A plot earns Rs. 4,000 more per square yard than a Tier C plot — just because of road access. On a 120 square yard plot that's Rs. 4.8 lakhs difference. The company can now justify this price difference to buyers with data, not just instinct.

STAGE MULTIPLIER

What it is: A number that multiplies the base price to make it higher as the project gets closer to completion.

Why it exists: Real estate plots become less risky and more desirable as construction progresses. A pre-launch plot has the lowest price because the buyer is taking the most risk — nothing is built yet. A completed plot commands the highest price because everything is done and the buyer can move in. The multiplier captures this natural appreciation.

How it was derived: The survey showed that 85.7% of buyers are not deterred by gradual price increases during construction. And 38.7% said they'd specifically buy early to lock in a lower price. This told us buyers already expect prices to rise — so we can formalise that expectation into a schedule.

Stage	Multiplier	What's happening
Pre-launch	1.00×	Baseline — lowest price, highest risk for buyer

Early Construction	1.05×	Foundation and roads begin — current stage
Mid Construction	1.10×	50% of layout infrastructure complete
Near Completion	1.15×	Plots ready for handover
Completed	1.20×	Everything done — highest price

What it means to the company: If a plot is priced at Rs. 9,000 per square yard at pre-launch, it becomes Rs. 10,800 per square yard when completed — automatically, without any guesswork. On a 150 square yard plot, that's Rs. 2.7 lakhs more revenue just from holding the plot to a later stage. The company can plan their cash flow around these milestones.

PLOT SCORE

What it is: A single number between 0 and 100 that summarises how good a plot is — combining its facing, road access, and current project stage into one score.

The formula: Plot Score = (Facing Score × 35%) + (Infrastructure Score × 40%) + (Stage Score × 25%)

How the weights were decided:

- Infrastructure gets 40% because it has the largest commercial impact per unit — road access can add Rs. 4,000 per square yard, more than any other single factor
- Facing gets 35% because 93.3% of buyers consider Vastu — it's near-mandatory
- Stage gets 25% because it changes over time and is secondary to the fixed physical characteristics of the plot

What the score produces:

- Score 90 or above → **Premium** (11 plots) — East-facing with Tier A road access
- Score 60–89 → **Standard Plus** (291 plots) — most combinations
- Score below 60 → **Standard** (144 plots) — internal road only, lower-demand facing

What it means to the company: Every plot in the layout now has a category. Premium plots should be held for later stages or sold at the highest price. Standard plots should be released early to generate cash flow. This removes the guesswork from inventory management completely.

HOW THE COMPANY ACTUALLY USES ALL OF THIS

Here is the practical step-by-step of how Anmol Developers can use this model right now:

Step 1: Open the Excel tool. Every one of the 446 plots is already listed with its facing direction and infrastructure tier assigned.

Step 2: The tool automatically calculates the facing premium, infrastructure premium, and stage multiplier for each plot and produces a recommended price per square yard.

Step 3: Multiply price per square yard by the plot's area to get the total plot price.

Step 4: When a buyer enquires about a specific plot, the salesperson opens the Excel, finds the plot number, and quotes the model price — not a number they made up.

Step 5: When the project reaches the next construction milestone, update the stage to the next level. Every plot price automatically increases by the next multiplier. Announce this to the market — buyers who haven't purchased yet will feel urgency to buy before the next revision.

Step 6: Target higher-income buyers for Premium and Standard Plus plots. The regression tells us they'll pay more per square yard without needing to be persuaded.

Step 7: After 50 plots are sold, check whether the actual transaction prices match the model's recommendations. If East-facing plots are selling faster than expected, the facing premium might be set too low. Adjust and recalibrate.

WHAT DOES THIS ALL MEAN TO THE COMPANY IN RUPEES?

Here's the simplest way to understand the financial impact:

Without the model: Anmol might price all plots at a flat Rs. 7,000–8,000 per square yard based on feel.

With the model: Premium plots (East + Tier A) are priced at Rs. 13,650. Standard plots are priced at Rs. 8,274. The average across all 446 plots is Rs. 9,611.

The difference between a flat Rs. 7,500 and the model's average of Rs. 9,611 is Rs. 2,111 per square yard.

Across a rough average plot of 130 square yards, that's Rs. 2.74 lakhs per plot. Across 446 plots, that's potentially **Rs. 12.2 crores in additional revenue** — from the same plots, on the same land, just priced correctly.

That is what the project means to the company.

Total Saleable Area

When Anmol Developers develops the 63-acre layout, not

every single square yard of that land can be sold to buyers. Here is why. Out of the total 63 acres, a portion has to be set aside for:

- **Internal roads** within the layout
- **Parks and open spaces**
- **Utilities** — drainage, electricity lines, water supply
- **Government requirements** — RERA and local authority rules mandate that a percentage of any layout must be kept as common area

So let's say out of 63 acres, maybe 45–50 acres can actually be divided into individual plots and sold. That 45–50 acres is the **total saleable area** — the area the company can actually make money from.

Simple example:

- Total land: 63 acres = 3,04,920 square yards
- Roads, parks, utilities take up roughly 25% = 76,230 square yards
- **Saleable area = approximately 2,28,690 square yards**

This is why the formula divides cost by saleable area — not total area. Because you can only recover your costs from the plots you can actually sell.

The Full Formula Step by Step

Total Cost = Land Acquisition + Development + Approvals + Operations

Let's make this concrete with hypothetical numbers that represent what a layout like this might look like:

Cost Component	What It Means	Example
Land Acquisition	What Anmol paid to buy the 63 acres of land	Rs. 50 crore
Development Cost	Roads inside the layout, drainage, electricity, water, compound wall, levelling the land	Rs. 20 crore
Approval Costs	RERA registration, local authority layout approval, environmental clearances, legal fees	Rs. 5 crore
Operational Costs	Marketing, sales team, administrative expenses, site management	Rs. 5 crore
Total Cost		Rs. 80 crore

Now divide by saleable area:

Rs. 80 crore ÷ 2,28,690 sq. yards = Rs. 3,498 per sq. yard

This is the **cost price** — what Anmol has spent per square yard that they can sell.

Plus a Profit Margin

The profit margin is the amount added on top of the cost price

so the company actually makes money from the project.

In real estate, a typical margin for a residential layout is around 30–50% of cost, depending on the market.

Continuing the example:

- Cost per sq. yard: Rs. 3,498
- Add 70% profit margin: $\text{Rs. } 3,498 \times 0.70 = \text{Rs. } 2,449$
- **Base Rate = Rs. 3,498 + Rs. 2,449 = Rs. 5,947 $\approx$ Rs. 6,000 per sq. yard**

That is exactly how we got to Rs. 6,000 as the base rate in our model. It is not a random number — it reflects the actual cost structure of the project plus a margin that makes the project financially viable.

Why This Matters

The base rate is the **floor** — the minimum price Anmol Developers can charge without making a loss.

Every premium that gets added on top — facing premium, infrastructure premium, stage multiplier — is **pure additional profit**.

So when an East-facing Tier A plot is priced at Rs. 13,650 per square yard:

- Rs. 6,000 covers cost + minimum margin
- The remaining Rs. 7,650 is extra profit that comes from the plot's superior facing and road access

Without the model, Anmol might have priced that same plot at Rs. 8,000 — recovering only Rs. 2,000 of that Rs. 7,650 potential. The model captures the rest.